

at to **GROWTH**

Photo Montage: MADHUMANGAL SINGH. Photographs: YASBANT NEGI, BHASKER PAUL, RAVI S SAHANI/www.indiatodayimages.com



WILL POLITICS CHOKE GROWTH?

Rising inflation, hardening interest rates and Central expenditure could hit growth

Siddhartha Roy: We have had a bad monsoon and kharif output is going to be poor. As a result food prices have gone up and this is something that was expected. We are supposed to have food stocks of 53 million tonnes but how have we used it? What have we done about critical items like edible oil and sugar? So, how well we have managed the food economy is a question that we need to ask. On the industrial front, things have started picking up but credit is not available uniformly across the sectors. Only first class borrowers are offered credit because banks are risk-averse and small and medium sectors are suffering. Services are growing but

exports like BPO are suffering. Essentially the lift you saw in industrial activity was due to the sops—the Pay Commission, the NREGA, the debt waiver. But it is doubtful if we will expect the same lift because now it gets built into the system. So, all of that is on the demand side, both external and internal demand situation doesn't look to be that good for recovery. ICRIER projects a maximum 6.1 per cent GDP growth this year, 5.8-6.1 per cent, going up to 7 per cent in sort of 2010-11, but that is also pretty much even-paced recovery. In that context, you should look at inflation. It is not an all-pervasive demand side phenomenon; you are not seeing inflation again as a demand pull.

Shankkar Aiyar: So this rise in inflation is not a result of growth in demand but a consequence of supply constraints.

Roy: It is not a monetary phenomenon; it is

(FROM LEFT) MANAGING EDITOR SHANKKAR AIYAR, S. MAHENDRA DEV, SIDDHARTHA ROY, ASHIMA GOYAL, AJIT RANADE, RAJIV KUMAR, BIBEK DEBROY, SUMAN K. BERY AND EDITOR PRABHU CHAWLA

17.5%
is the year-on-year food price inflation which continued its spiral.